

In Focus

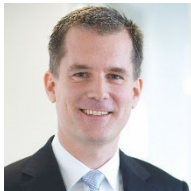
AI and private equity

Shifting the return distribution



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Why the contribution of artificial intelligence on investment outcomes is likely to show up at the tails – and how LPs can assess manager readiness.

Key messages

1. Returns are driven by the tails. In private equity, a small number of outlier deals – the big winners and the potentially avoidable losses – have outsized influence on overall performance. AI's highest-value contribution is therefore likely to be return shape: extending the upside tail by helping teams find more great investments – and shortening the downside tail by helping teams avoid more bad ones.

2. Productivity is useful, but is not the main gain. AI is not about doing the same investment work with fewer resources. The larger opportunity is doing 10–100x more analysis, and doing it 10–100x faster, with the same resources – so that more weak opportunities are stopped and more strong opportunities are identified earlier.

3. Augmentation beats autonomy. Private equity remains a people business. Returns depend on judgement through uncertainty, management quality, relationships and trust. This is why we believe the most

effective model is AI-assisted humans: tools that widen coverage, accelerate analysis, challenge assumptions and strengthen governance, while humans retain accountability.

4. LPs need a capability vocabulary. Almost every GP now references AI. LPs need to distinguish between those utilising chat interfaces, source-attributed analysis, adversarial challenge and monitoring workflows – and be able to assess where true value can be added. We adapt the car industry's AI capability logic into a practical PE framework and apply it to Schroders Capital's own tools as an example.

5. In private equity, AI-related moats are built over time. The durable advantage is not generic AI model capability. It is the combination of proprietary data, investment philosophy, workflow integration, governance, culture and human judgement. These compound slowly and cannot be replicated at short notice.

In private equity, returns live in the tails

Within a single buyout fund, a small number of deals drive the result – that is to say, they have an outsized influence on the comparative outcome of a given fund. Across a large global sample of buyout investments studied over more than three decades, roughly one in 10 deals returned no capital at all, while around one in four delivered a gross IRR above 50% – over typical four-year holding periods, the equivalent of a stellar multiple return of between 3x to 8x on invested equity.

A median buyout deal returned around 1.9x gross and 21% gross IRR; the right tail sits well above that.¹

Manager skill, when it exists, shows up in precisely these tails. In a study of 113 buyout firms that had each raised at least \$5 billion since 2000, consistent outperformers generated IRRs above 15% on 32% of their deals, versus 18% for laggards. Meanwhile they wrote off 5% of deals, versus 8% for the laggards.² Diversification can absorb

¹Lopez-de-Silanes, F., Phalippou, L. and Gottschalg, O., 'Giants at the Gate: Investment Returns and Diseconomies of Scale in Private Equity', Journal of Financial and Quantitative Analysis, 50(3), 2015.

²Bain & Company, Global Private Equity Report 2020, 'Public vs. Private Equity Returns'.

many individual losses; it cannot absorb the absence of the one or two standout winners that make a vintage.

The arithmetic is unforgiving. Consider a hypothetical buyout fund of 10 equally-sized deals. One 5x winner, one total loss and eight 1.5x outcomes produce a gross multiple of roughly 1.7x. Replace the 5x winner with a flat 1.0x exit and the fund falls to 1.3x. A single missed winner can move a fund from a strong outcome to a weak one.

On the other hand, replace one of the 1.5x outcomes with a second winner at 5x and the gross multiple jumps to above 2x. Catching another winner moves a fund from a strong outcome to a great one.

This is why, in our view, the main benefit of AI in PE is not median-case productivity. Faster memos matter, but a manager who is faster while still missing the same great deals and approving the same bad ones has not improved returns. The more important question is whether AI helps surface one additional top-decile investment, or avoid one impairment that would otherwise have cleared the investment committee.

The pattern is even sharper in venture and growth capital. In venture, roughly 6% of investments generate about 60% of total returns, and nearly half of financings fail to return invested capital.³ Growth equity sits between venture and buyout: lower loss ratios than venture, but thicker right tails than mature buyout.

We call this the tail view. In our view, in asset classes with skewed deal-level outcomes such as private equity, AI's highest-value contribution will come from improving tail outcomes rather than median-case efficiency alone. It works through two distinct mechanisms:

- **Extend the upside tail** through broader sourcing, earlier identification and non-obvious pattern matching, and faster analysis. AI can help teams screen more managers and companies than a human-only pipeline constrained by relationship coverage and analyst capacity. In fragmented private markets, this may help identify overlooked opportunities earlier, although the upside case will likely take longer to evidence than downside-risk reduction.
- **Shorten the downside tail** through deeper diligence, inconsistency detection and failure-mode recognition. AI can read more material, compare more precedents and flag more contradictions than any human team operating under due diligence time pressure. This is where the near-term evidence case is most intuitive: better challenge should reduce the probability that avoidable impairments pass through the process.

Taken together, these effects do not simply compress the distribution. We believe that they have the potential to shift it to the right: fewer avoidable losses, more identified winners and a higher-quality opportunity set for human judgement.

What private equity can learn from the car industry

Assisted driving technology in the car industry offers a useful analogy, provided it is used carefully. Not all of the

technologies related to assisted driving are AI-based, although that is the clear direction of travel – and the

analogy highlights the practical value of bounded, targeted assistance in a high-stakes environment. In the car industry, the most durable gains of assisted driving and AI technology have come from helping the human operator avoid poor outcomes, not from removing the human operator altogether.

Full autonomy – i.e. driverless vehicles – has progressed more slowly than many expected. The SAE International (Society of Automotive Engineers) defines six levels of driving automation⁴, ranging from Level 0 (no automation) to Level 5 (full automation). Level 5 autonomy has not been achieved in open-ended consumer-driving environments, while the most advanced deployments remain constrained by operating domain, geography, weather, supervision model or use case.

The lesson for private equity is not that investing is like driving. It is that high-stakes domains need precise language about what technology is actually doing, who catches errors – and who remains accountable.

For private equity, the practical implication, then, is that augmentation beats autonomy. Tools can broaden coverage, detect inconsistencies, run structured challenge and monitor signals continuously. But the hardest inputs – reading management quality, judging culture, building founder trust and exercising fiduciary accountability – remain human. That is why LPs need a vocabulary that distinguishes genuine process capability from generic AI marketing of providers and managers.

A practical framework: Levels 0 to 3 for private equity

Almost every private equity firm now references AI. The claims range from using simple chat interfaces to integrated workflows with adversarial challenge. A framework is needed that scores what the tools do, that exposes gaps and provides an overall assessment.

We adapt the logic of automotive autonomy standards to private equity investing using four criteria: analytical task execution, risk and opportunity detection, self-correction and breadth of application. Levels 4-5 are excluded from the framework as they focus on full, rather than conditional, autonomy, which is not applicable to private equity for the reasons mentioned earlier.

The weakest-link principle matters. A tool that coordinates multiple analytical tasks but has no self-correction cannot be described as more than supervised assistance. Likewise, a tool that performs strong diligence but cannot support valuation, structuring or monitoring should not be described as a firm-wide AI operating model.

In practice, the levels would manifest in private equity firms in the following ways:

³ Dixon, C., 'The Babe Ruth Effect in Venture Capital', Andreessen Horowitz, June 2015; Coats, D., Correlation Ventures analysis of US VC financings, 2023.

⁴ <https://www.sae.org/news/blog/sae-levels-driving-automation-clarity-refinements>.

Level 0: No AI

The investment process is entirely manual. Task execution, risk detection, error correction and generalisation across functions and strategies are performed by humans.

Level 1: Single-task assistance (AI takes over one task)

AI executes a single function, often through a chat interface: extracting data, screening a pipeline or generating a company profile. Humans still detect risks, catch errors and decide how to use the output.

Level 2: Multi-task assistance (AI coordinates multiple tasks)

AI handles several analytical functions in an integrated workflow, such as augmenting screening data, drafting analysis and independently flagging specific risks. Humans

supervise and retain full decision authority. So-called agentic systems, which execute multi-step processes through pre-approved and supervised workflows, can be used here and help to transition to Level 3 conditional autonomy.

Level 3: Conditional autonomy (AI challenges its own output)

AI performs a complete analytical workflow, reviews its own conclusions through an adversarial mechanism and applies that approach across multiple functions and strategies. Still, humans supervise and retain full decision authority. Reaching Level 3 overall requires a score of 3 on every criterion. In our assessment, no PE firm, including Schroders Capital, operates fully at Level 3 today.

Figure 1: AI Autonomy Assessment Framework for Private Equity – four criteria, Levels 0 to 3

	Level 0: No AI	Level 1: Single-task assistance	Level 2: Multi-task assistance	Level 3: Conditional autonomy
A. Analytical task execution	Human performs all analysis manually	AI executes one analytical task, such as extraction, screening or profiling	AI coordinates multiple tasks in an integrated workflow, such as screening, drafting and flagging	AI performs a complete analytical workflow from raw data to draft recommendation, but humans supervise, finalise analyses and take decisions
B. Risk and opportunity detection	Human identifies all risks and opportunities	AI surfaces data but human interprets all signals	AI independently flags specific risks, opportunities or valuation issues	AI systematically scans across risk, opportunity, valuation and structure categories and prioritises by severity for humans to authorise and action
C. Self-correction	Not applicable	None; human must identify all AI errors	AI flags low confidence, data gaps or source conflicts for human review	AI challenges its own output via an adversarial mechanism before human review
D. Breadth of application	Not applicable	One function, one strategy	Multiple functions within one strategy, or one function across multiple strategies	Multiple functions across multiple strategies, including sourcing, due diligence, valuation, structuring and monitoring

Source: Schroders Capital, 2026. Four criteria adapted by internal analogy from SAE International J3016, which was developed for automotive driving automation and is used here as an analytical framework only. A tool's overall level equals its lowest score across the four criteria. Levels 4-5 are discussed in the outlook.

Applying the framework: Schroders Capital's AI tools

To show how the framework works in practice, we apply it to three proprietary AI tools Schroders Capital has built for private equity.

Schroders Capital's data science team was established in 2014; the current generation of AI tools was developed from 2023 onwards, drawing on investment data accumulated over more than a decade. All three AI tools are in use in the investment process, even though some of this is still experimental. Human investment professionals quality assure outputs and stay in full control.

The scores below are self-assessments and should be read as structural assessments of what the tools are designed to do, not as performance claims.

The Long/Short List tool – not missing great investments

The Long/Short List is initially focused on scoring fund managers (GPs), with an initial focus on Western buyouts. Supported by AI technology, it combines Schroders Capital primary fund-investing data – including meeting notes, reference calls, performance analysis and invest/pass decisions across roughly 1,000 US and European buyout managers – with external data added to help investment teams identify patterns in investment strategy, performance and team composition.

The tool is especially relevant for the upside tail. It can surface managers whose profile matches patterns associated with historical outperformance, but who might otherwise sit outside immediate coverage. The tool can later

be extended to other regions and strategies and – at a later point in time – to company targets.

The tool scores Level 1-2: multiple coordinated functions, but humans direct the process and interpret the signals.

GAiiA – speed and coverage, with source transparency; not overlooking any detail

GAiiA stands for Generative AI Investment Analyst. Its defining architectural choice is source transparency: outputs are linked back to underlying documents or external sources. This helps to avoid hallucinations and bias in LLM-generated analysis. GAiiA can ingest deal documents, allow investment teams to interrogate opportunities through a chat interface tied to a specific investment opportunity, answer targeted analytical questions, and generate draft investment memos.

As at March 2026 and since its launch in the first half of 2024, GAiiA had produced analytical output consulted by investment teams in about 100 investment cases; finalisation of investment analysis and memos, as well as decisions, remain fully with the investment teams and the investment committee in every case.

The tool helps with both tails. By improving speed and coverage, it can help to broaden the investment funnel,

thereby increasing the chance not to miss a great investment. By making sure that key details are not overlooked across all relevant documents, it can contribute to avoiding more bad outcomes.

GAiiA scores Level 1-2: multiple bounded tasks with source attribution, but no adversarial self-correction and necessity of close human supervision.

GAiiA + Vicky – avoiding bad investments through adversarial challenge

Vicky stands for Virtual Investment Committee Agent. It draws on Schroders Capital's prior investments as a proprietary reference set. Vicky complements GAiiA with an additional layer of challenge on draft investment memos during the pre-Investment Committee workstream, surfacing precedents, risks and execution considerations that might otherwise be missed.

Its purpose is not to approve deals faster; it is to slow down investment opportunities that should be questioned more. The GAiiA + Vicky combination is the highest-scoring tool and reaches Level 2 because the adversarial architecture raises the self-correction score. At every stage, the investment professional remains in control.

Figure 2: Schroders Capital PE tools scored against the four criteria – self-assessed, March 2026

Tool	Analytical task	Risk detection	Self-correction	Breadth	Level	What it does for the investment team
GP Long/ Short List	2	1	1	2	L1-2	AI-curated research across ~1,000 US/EU buyout managers; human interprets risk signals
GAiiA	2	2	1	2	L1-2	Screens data rooms, flags risks, drafts IC materials; source transparency; human verifies output
GAiiA + Vicky	2-3	2	3	2	L2	Adversarial challenger reviews analysis before human review; draws on historical investment data

Source: Schroders Capital internal self-assessment, March 2026. Scores are management commentary, have not been independently verified, are not comparable to any third-party AI evaluation standard, and should not be relied upon as an objective measure of AI capability.

These scores have four limitations and risks that need to be closely monitored. Vicky could reinforce historical biases; Schroders Capital's data reflects its own experience; the scoring may underweight strength in individual criteria; and meaningful outcome evidence requires multiple investment cycles.

The sustainable competitive advantage of PE managers in the AI age

We believe that, within a few years, every major private equity firm will have access to capable foundation AI models (so-called large language models or LLMs), some form of adversarial review architecture and large-scale data ingestion. Those capabilities will not, by themselves, distinguish one manager from another.

The important question will be what remains proprietary once the underlying technology commoditises. In our view, the answer is the combination of human judgement,

investment philosophy, proprietary data, workflow integration, governance and culture.

Human judgement that AI cannot replace

Private equity is a people business, and the inputs that matter most at the decision point are often absent from the data room: reading a management team, interpreting what a reference-giver is not saying, sensing board dynamics, assessing cultural fit and management team cohesion, and building the trust with a founder that determines who gets the next call. AI tools are valuable because they free human judgement to concentrate on these inputs, not because they replace them.

Investment philosophy, culture and criteria

A firm's competitive advantage is also a function of what it decides to look for or avoid. That decision should not be delegated to a model. The architecture should separate criteria, reasoning and challenge: criteria are owned by

human investment professionals and should never be delegated to any AI tool; reasoning is where AI supports the analytical work; challenge is where adversarial tools test the thesis against proprietary history. The firm's culture is crucial to ensure that AI specialists and investment professionals work hand-in-hand and that both have strong expertise in each area.

Proprietary data and embedded tools

AI tools that are embedded in the firm's own data, investment process, governance framework and pipeline of investment opportunities can create a competitive advantage compared to generic, off-the shelf tools. Foundation-model capability will commoditise; a structured private-markets data archive, accumulated over many cycles, will not.

The risk: AI groupthink and historical bias

If every manager uses the same AI models over similar data and delegates investment criteria and weighting of criteria to models (which we believe they never should), investment theses could homogenise and managers may crowd into the same investment opportunities, or miss the same risks. Additional issue can arise if proprietary AI tools overfit to historical decisions and discourage non-consensus thinking.

Managers should therefore preserve creativity through human challenge, external perspectives, periodic review of investment criteria and explicit attention to opportunities that do not resemble past winners.

Outlook: from assistance to anticipation

The AI capabilities that will shape private equity over the next five to 10 years are, to varying degrees, possible today. The outlook is not that they suddenly come into existence. It is that some firms may be positioned to deploy them as governed, measured and repeatable parts of the investment process faster than others. At the same time, an important implementation challenge for AI capabilities is that verification, governance and evidence take longer to build than foundational AI models take to improve.

Universe-first investing

We foresee that future versions of long/short list tools will run continuously across broader investable universes: fund managers, private companies, secondary and continuation opportunities. They will constantly deploy AI agents to keep analyses updated even before they are needed. This is an upside-tail capability because it expands the opportunity set humans can address and judge.

Adversarial challenge on every decision

We also foresee that adversarial challenges will exponentially improve by bringing together a combination of specialist AI agents, and debating and challenging market, financial, management and risk questions before investment committee submission. In the future, every investment committee memo could include a pre-attached challenge letter that draws on prior impairments, broken theses and comparable situations. This is a downside-tail

capability because it can help stop weak deals systematically.

Continuous portfolio monitoring

Furthermore, we foresee that AI agents will be deployed to constantly monitor and analyse existing investments. Structured, permissioned monitoring of public and contractually shared company data – board packs, management updates, financial feeds, market signals and customer signals – can generate aggregate health indicators and early-warning thresholds. Properly scoped, this shortens the distance between something going wrong and someone with authority acting on it. This therefore represents a downside-tail capability.

Two constraints

- Human accountability remains central. Full autonomy across core private-equity decision making appears unlikely in most contexts in the foreseeable future, for the reasons stated before.
- Trust and evidence lag capability. Many AI deployments will fail to produce measurable business impact because tools are deployed before they are fully embedded, governed and validated.

Next five years: what to look for in managers

For LPs, the due diligence question is no longer whether a manager says it uses AI. The more useful question is whether and how AI is embedded in the manager's investment process and governance architecture. Five criteria are likely to matter most:

- **Proprietary data strategy:** the manager has a structured private market archive and can ground proprietary workflows.
- **Process integration:** AI is systematically used in live sourcing, diligence, IC preparation and monitoring workflows.
- **Evidence of learning loops:** the manager measures and assesses outcomes of AI-assisted sourcing, analysis and monitoring.
- **Verification architecture:** outputs are source-attributed, tested, challenged and escalated where confidence is low or evidence conflicts.
- **Culture and adoption:** investment professionals, AI and data science specialists and governance teams share a language for what the tools do well, where they fail and when human judgement must dominate.

We believe that managers that build these architectural elements early are better positioned to compound advantages across vintages. This is our own conviction, not a forecast of specific outcomes. The ultimate test for LPs is not whether a manager has or uses AI, but whether the manager can show how AI improves the quality, consistency and accountability of investment decisions over time.

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